So while acknowledging the value of mandates at the RBI, we have tried to make them more effective. For example, the list of sectors eligible for priority sector treatment has been revised, with an emphasis on targeting the truly excluded. Specifically, the share of adjusted net bank credit (ANBC) that has to go to small and marginal farmers (including share croppers) is set at 8 per cent for March 2017, and that for micro enterprises set at 7.5 per cent. At the same time, the scope for banks to meet priority sector norms without lending to the truly excluded has been reduced. For example, large loans to firms producing agricultural products no longer qualify. Also, banks are now required to meet their targets at the end of every quarter, rather than at the end of the year, which reduces the scope for window-dressing with short-term end-of-year credit. Finally, Priority Sector Lending Certificates, which allow a lender to 'sell' any over-achievement in particular categories to others who are deficient, are now being traded, thus encouraging those who have a better capacity to make such loans to do so. All in all, the priority sector mandate is now not only better targeted at the truly excluded, but will be delivered more efficiently.

Mandates are not costless. Rather than forcing banks to recover costs by overcharging ordinary customers, or by demanding recapitalization by the government, better to bring the costs into the open by paying for the mandate wherever possible. So, for instance, accounts or cash machines opened in remote areas could attract a fixed subsidy, which would be paid to anyone who delivers them. Not only will the cost of the mandate become transparent and will be borne by the authorities, thus incentivizing them to make sensible decisions about how long to impose the mandate, the mandate can be delivered by the most efficient service providers, attracted by the subsidy. This is why the RBI today explicitly subsidizes cash recycling